

Seat Belts Fastened?

Will there be another trauma time like 1973–74, when the market lost nearly half its value, or another day like October 19, 1987? I don't know. But I do know there will be bear markets, for as we discovered earlier, trees don't grow to the sky. I just don't know when they will happen, how bad they will be, or how long they will last.

But there are plenty of people who think they do know. They write books about why we are poised on the brink of doom and why, within months, another 1929—forget 1973–74 or 1987!—awaits us.

If you look at a shelf of market-wisdom books of the last quarter century—of which this is going to be number 685—you find that a large number of them, and some of the most successful, have been those predicting imminent disaster. Harry Browne's *You Can Profit from a Monetary Crisis* reached number one on the *New York Times* best-seller list in 1974. Douglas Casey's *Crisis Investing* was on the list for twenty-nine weeks in 1979. Ravi Batra's *The Great Depression of 1990* (now there was a great call!) stayed on the list for much of 1988. My favorite title, though, was *Blood in the Streets: Investment Profits in a World Gone Mad*, by J. D. Davidson and Sir William Rees-Mogg, which Summit Books published in 1987.* They all predicted doomsdays that never arrived.

People seem to get a lot of joy out of contemplating disasters. They provide a thrill. Suppose someone came to Steven Spielberg and said, "I want to do a movie about life in a shipyard. The workers are building a great ship, and I will capture their tireless efforts—drawing the plans, fabricating the components, welding the steel, laying the keel—putting together this great behemoth day by day by day." Sound like fun? "Hell, no!" the average moviegoer would say. "Sounds boring to me."

*Actually, the book made some very astute calls: "The Soviet Union will inevitably break apart" (page 143); "Six deadly storm clouds are gathering over real estate" (page 273); "We predict that hundreds of S&Ls will go broke" (page 290).